March 3, 2025

Representative Christine Chandler
Chair, House Judiciary Committee
490 Old Santa Fe Trail, Office 308A
Santa Fe, NM 87501

Representative Andrea Romero
Vice Chair, House Judiciary Committee
490 Old Santa Fe Trail, Office 312A
Santa Fe, NM 87501

Representative Andrea Reeb
Ranking Member, House Judiciary Committee
490 Old Santa Fe Trail, Office 201A
Santa Fe, NM 87501

RE: Letter in Opposition to the New Mexico Health Data Privacy Act (HB 430)

Dear Chair Chandler, Vice Chair Romero, and Ranking Member Reeb:

On behalf of the advertising industry, we write to oppose the New Mexico Health Data Privacy Act, HB 430.[1] If enacted, the bill would hinder New Mexico residents' ability to access services and severely burden the operation of many businesses in the state. We offer this letter to express our non-exhaustive list of concerns about this legislation. Our organizations support the enactment of meaningful privacy protections for New Mexicans. However, as presently drafted, HB 430 would have far-reaching, unintended, and unfavorable consequences for New Mexico consumers and the business community alike. We therefore strongly encourage you to decline to advance the bill any further in the legislative process.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020. Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further to discuss the issues we catalog in this letter.

I. HB 430's Definitions of "Regulated Health Information" and "Regulated Entity" are Overly Broad

HB 430's terms, coupled with its overly broad definition of "regulated health information," could unintentionally impede New Mexicans from receiving useful and relevant information about products and services they may desire. As defined, the term "regulated health information" would include *any information* that could possibly be related—however tangentially—to the health of a

[1] New Mexico HB 430 (2025 Sess.), located here (hereinafter, "HB 430").

consumer.[2] The definition could be interpreted to include basic data points, such as the fact that a consumer purchased non-prescription shampoo for individuals with dry hair at a local grocer, attended a fitness event, or signed up to receive promotional notices about specific clothing or footwear restocks. None of this information is inherently related to health, but HB 430's broad definition of "regulated health information" could sweep such information into its ambit.

HB 430 should be updated to narrow the definition of the term "regulated health information." We recommend that the Committee align the bill's definition of "regulated health information" with the majority of states that have passed legislation regulating "consumer health data," such as the definitions of the term in the Connecticut, Maryland, and Nevada laws. In those state laws, "consumer health data" is personal information that is linked or reasonably capable of being linked to a consumer and that "*is used to identify*" the past, present, or future health status of the consumer. This definition will help ensure that the term is cabined to information actually used to identify a consumer's health status. This ensures that less sensitive data points are not unintentionally swept into the definition of the term.

HB 430 should also be amended to clarify that "regulated entity" refers exclusively to entities processing "regulated health information" of New Mexico residents. We recommend refining the existing broad term defining a "regulated entity" to remove entities that control the processing of "regulated health information" about individuals "physically present" in New Mexico.[3] This update will help clarify that the bill applies exclusively to the "regulated health information" of New Mexicans and would help harmonize the bill's terms with laws in other states.

II. The Bill's Consent and Data Minimization Requirements Would Cause Consumer Frustration and Impede Innovation

HB 430's current language suggests a regulated entity looking to process regulated health information would need such processing to be (1) subject to signed consumer consent, (2) strictly necessary to provide a consumer-requested product or service, ***and*** (3) strictly necessary to provide a communication a consumer reasonably anticipates.[4] In part due to HB 430's broad definitions, the requirement to obtain a signed consent every time a regulated entity processes regulated health information would inundate New Mexicans with an overwhelming number of consent requests for basic data processing activities.[5] The bill is consequently likely to result in significant consent fatigue for New Mexico residents instead of providing meaningful privacy protections for consumers. The bill is also likely to severely degrade innovation and development in health-related products and services, as processing of regulated health information would be permissible only in the context of a product or service the consumer already has requested.

Additionally, the bill expressly prohibits a regulated entity from both (1) processing any precise geolocation information that could reasonably indicate an attempt to acquire health services or supplies, unless strictly necessary to deliver a requested product, service, or feature; and (2)

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[2] *Id.* § 2(D).
[3] *Id.* § 2(C).
[4] *Id.* § 4(A)(1).
[5] *Id.* § 4.

processing regulated health information for "targeted advertising, first party advertising, or the brokerage of personal data" without signed consumer consent.[6] The bill provides no information regarding how a regulated entity can determine if precise geolocation information can "reasonably indicate" an attempt to acquire health services or supplies. The bill could consequently chill advertising and marketing efforts as well as important services that depend on precise geolocation data to function, such as amber alerts and severe weather notices. In addition, the bill's consent requirements for use of regulated health information for first-party advertising and targeted advertising would significantly hinder the use of data to apprise consumers of relevant offerings that may interest them, including to cross-sell products and services to a business's existing customer base. HB 430's detrimental—and likely unintentional—consequences would hinder consumers from receiving significant benefits associated with routine and essential data practices while simultaneously placing overly burdensome requirements on regulated entities that process any information that might even vaguely be related to health – or not.

III. HB 430 Would Diverge Sharply from Existing Privacy Laws by Requiring Regulated Entities to Disclose Names of Third-Party Partners and Logs of Disclosure Times

HB 430 would significantly deviate from existing state privacy laws in that it would require regulated entities to disclose the names of their third-party partners *and* a log showing when disclosure to these partners occurred to individuals who make an access request under the bill; both the list of names and log would need to be specific to the individual requester.[7] The overwhelming majority of state privacy laws require companies to disclose the *categories* of third parties to whom they transfer personal data rather than the specific names of such third parties themselves in response to access requests. No state privacy law requires controllers to disclose a log of disclosure times.

Requiring disclosure of the names of third-party entities and log of disclosure times would be operationally burdensome, as potential regulated entities change business partners frequently, and companies regularly merge with others and change names. For instance, a regulated entity may engage in a data exchange with a new business-customer on the same day it responds to a consumer disclosure request. This requirement would either force the regulated entity to refrain from engaging in commerce with the new business-customer until its consumer disclosures are updated, or risk violating the law. This is an unreasonable restraint. From an operational standpoint, constantly updating multiple lists of all third-party partners a controller works with, and maintaining logs of disclosures to these third parties, would take significant resources and time away from companies' efforts to responsibly process information about individuals.

Even international privacy standards like the European Union's General Data Protection Regulation ("GDPR") do not require burdensome disclosures of specific third parties in response to data subject access requests or logs of related disclosures, according to the text of the law. Mandating that companies disclose the names of their third-party partners and keep such logs could

[6] *Id.* § 4(A)(2)-(3). The bill also provides no definition of "personal data."
[7] *Id.* § 5(A)(2)(e).

obligate companies to abridge confidentiality clauses they maintain in their contracts with partners and expose proprietary business information to their competitors. Finally, the consumer benefit that would accrue from their receipt of a list of third-party partners to whom a controller discloses data and log of disclosure times would be minimal at best. For these reasons, we encourage you to reconsider this onerous requirement, which severely diverges from the approach to required disclosures taken in existing state privacy laws.

IV. Requiring Regulated Entities to Pass Consumer Rights Requests to Third Parties Could Conflict with Consumer Preferences

HB 430 would require regulated entities to pass along deletion requests to service providers and third parties and would require any such party that receives notice of such a request to delete all regulated health information associated with the consumer within 30 days of receipt of the request.[8] HB 430 should not require regulated entities to flow deletion requests through to third parties, because such actions may not align with consumers' wishes. A consumer may desire, for instance, to delete the regulated health information maintained by a certain regulated entity but may not want other regulated entities—who would be "third parties" under HB 430's terms—to similarly be required to delete regulated health information. Such a requirement could impact products and services the consumer wishes to and expects to receive, as a deletion request served on one entity would be required to be cast to all other entities in the marketplace. The consumer may not intend to or want to serve a deletion request on regulated entities the individual knows, trusts, and wishes to continue to receive messaging from. Requiring deletion requests to be passed to other entities in the marketplace would create detrimental results the individual did not intend, desire, or expect.

V. A Private Right of Action Is an Inappropriate Form of Enforcement for Privacy Legislation

As presently drafted, HB 430 allows a consumer to bring a lawsuit for deprivation of rights under the bill.[9] HB 430 should be updated to clarify that it does not create a private right of action under any law. We strongly believe private rights of action should have no place in privacy legislation. Additionally, the bill would allow district attorneys to bring civil suits if they reasonably believe a violation has occurred or to prevent a violation of the Health Data Privacy Act.[10] Instead, enforcement should be vested with the Attorney General ("AG") alone, because such an enforcement structure would lead to stronger outcomes for New Mexico residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The private right of action in HB 430 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions will flood New Mexico's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical

[8] *Id.* § 5(E)(2), (F).
[9] *Id.* § 8(B).
[10] *Id.* § 8(C).

violations, rather than focusing on actual consumer harm.[11] Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address consumer privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced the claims are without merit.[12]

Beyond the staggering cost to New Mexico businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to clarify that HB 430 does not create a private right of action under any law and vests enforcement authority with the AG alone.

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[11] A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located here.

[12] For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located here. Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*

We and our members support protecting consumer privacy. We believe, however, that HB 430 takes an overly broad approach to the collection, use, and disclosure of any data that could possibly be related to or indicative of health. We therefore respectfully ask that you to reconsider the bill. We would also very much welcome the opportunity to engage with you further regarding an appropriate way to define "regulated health information" so New Mexicans can enjoy robust protections without forfeiting the ability to receive benefits from the modern data-driven economy.

Thank you for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4As
202-355-4564

Lartease Tiffith
Executive Vice President, Public Policy
Interactive Advertising Bureau
212-380-4700

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria, CIPP, CISSP
Executive Director
Digital Advertising Alliance
347-770-0322

CC: New Mexico HB 430 Bill Sponsors
Members of the New Mexico House Judiciary Committee